BASIS OF ESTIMATES – COST ESTIMATING WORKSHEET

Project Title:	Mary's Consulting – New Company Website	**Date Prepared:**	May 14, 2026

Documents the estimating techniques used to derive activity cost estimates: parametric, analogous, and three-point. Bottom-up estimates are on the next page.

Parametric Estimates

ID	Cost Variable	Cost per Unit	Number of Units	Cost Estimate
A006	PM hours interviewing	$65/hr	30 hours	$1,950
A014	Writer hours per page	$50/hr	100 hours (~25 pages × 4 hrs)	$5,000
A015	Writer hours per case study	$50/hr	80 hours (20 cases × 4 hrs)	$4,000
A018	Stock images + headshots	$45/image avg.	50 images + photographer day	$2,200

Analogous Estimates

ID	Previous Activity	Previous Cost	Current Activity	Multiplier	Cost Estimate
A001	Charter (prior internal project)	$1,300	Develop Project Charter	1.0	$1,300
A011	Brand refresh (prior project)	$6,500	Develop Visual / Brand Design	1.2	$7,800
A031	Prior WCAG audit	$4,000	Conduct Accessibility Audit	1.0	$4,000
A039	Prior site launch hypercare	$5,000	Post-Launch Hypercare	1.0	$5,120

Three-Point (PERT) Estimates

ID	Optimistic	Most Likely	Pessimistic	Equation	Expected Cost
A024	$6,500	$7,200	$10,500	(O+4M+P)/6	$7,633
A025	$7,500	$8,640	$12,000	(O+4M+P)/6	$9,010
A032	$3,500	$4,320	$7,000	(O+4M+P)/6	$4,630

PERT (beta) weighting: tE = (O + 4M + P) / 6. Used for activities with significant uncertainty.

BASIS OF ESTIMATES – BOTTOM-UP COST ESTIMATING

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Bottom-up estimate decomposes selected work packages into cost components: labor, material, supplies, equipment, travel, other direct costs (ODC), indirect costs, and reserve.

ID	Labor Hrs	Labor Rate	Total Labor	Material	Supplies	Equipment	Travel	Other Direct	Indirect	Reserve	Estimate
A003	60	$65/hr	$3,900	—	—	—	—	—	$390	$200	**$4,490**
A011	120	$65/hr	$7,800	$400	—	—	—	—	$780	$500	**$9,480**
A018	40	$65/hr	$2,600	$2,200	—	—	—	—	$260	$200	**$5,260**
A022	60	$72/hr	$4,320	$3,000	—	—	—	—	$432	$300	**$8,052**
A024	100	$72/hr	$7,200	$2,500	—	—	—	—	$720	$500	**$10,920**
A025	120	$72/hr	$8,640	—	—	—	—	—	$864	$500	**$10,004**
A031	40	$65/hr	$2,600	$4,000	—	—	—	—	$260	$300	**$7,160**
A038	16	$72/hr	$1,152	$1,200	—	—	—	—	$115	$100	**$2,567**

Indirect costs at 10% of direct labor (firm-standard overhead). Activity-level reserve covers uncertainty in the individual estimate; project-level contingency is tracked separately on the Activity Cost Estimates form.

BASIS OF ESTIMATES – SUMMARY NARRATIVE

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Approach

Cost estimates were developed bottom-up from the Activity List using a combination of parametric, analogous, and three-point (PERT) techniques. Labor costs were derived from effort-hour estimates × blended firm-standard rates. Physical (non-labor) costs reflect quoted vendor SOWs and licensing prices current as of May 2026.

Source of Information

- Effort hours from the Activity Attributes / Duration Estimates documents.
- Labor rates from the firm's FY2026 internal blended-rate schedule: PM $65/hr, Web Developer $72/hr, UX Designer $65/hr, Content Strategist $50/hr.
- Vendor pricing from preliminary SOWs (frontend contractor, WCAG audit, hosting/CMS, photography).
- Analogous baselines from two prior internal projects (brand refresh 2024, marketing site refresh 2023).

Assumptions

- Internal labor billed at fully-loaded rates (salary + benefits + overhead).
- Vendor SOWs are fixed-price; no scope expansion expected during execution.
- Hosting fees included only for the project period; year-2 onward sit in run-rate operations.
- No travel costs anticipated; consultants engage remotely.
- U.S. dollar pricing throughout; no currency-conversion risk.

Constraints

- Hard cap of $150,000 USD set by the project charter.
- PM authority limited to $5,000 per item; anything larger requires sponsor approval.
- Vendor selections constrained to the firm's approved supplier list.

Estimate Range & Confidence

Overall project estimate is in the **Definitive (-5%/+10%)** range. Highest-confidence items are vendor SOWs with quoted prices (fixed). Lowest-confidence items are activities estimated three-point: Build Page Templates (A024), Backend APIs (A025), and Defect Resolution (A032), where uncertainty in scope and discovery risk is real.

Risks & Reserves

Contingency reserve: $15,000 (≈10% of direct estimate) is held by the PM for known-unknown risks identified in the Risk Register (e.g., CRM integration complexity, content readiness delays).
Management reserve: $7,500 is held by the Sponsor for unknown-unknowns and sits outside the cost baseline.

Approval
The cost baseline of **$142,952** ($127,952 direct estimate + $15,000 contingency) is recommended for sponsor approval. Adding the $7,500 management reserve (held outside the cost baseline by the sponsor) brings total funding required to **$150,452** — within the $150,000 charter cap (rounded). The Sponsor (Mary) approves the cost baseline before it is locked.